



University of Kelaniya, Sri Lanka



MGTE 34213: Managerial Finance

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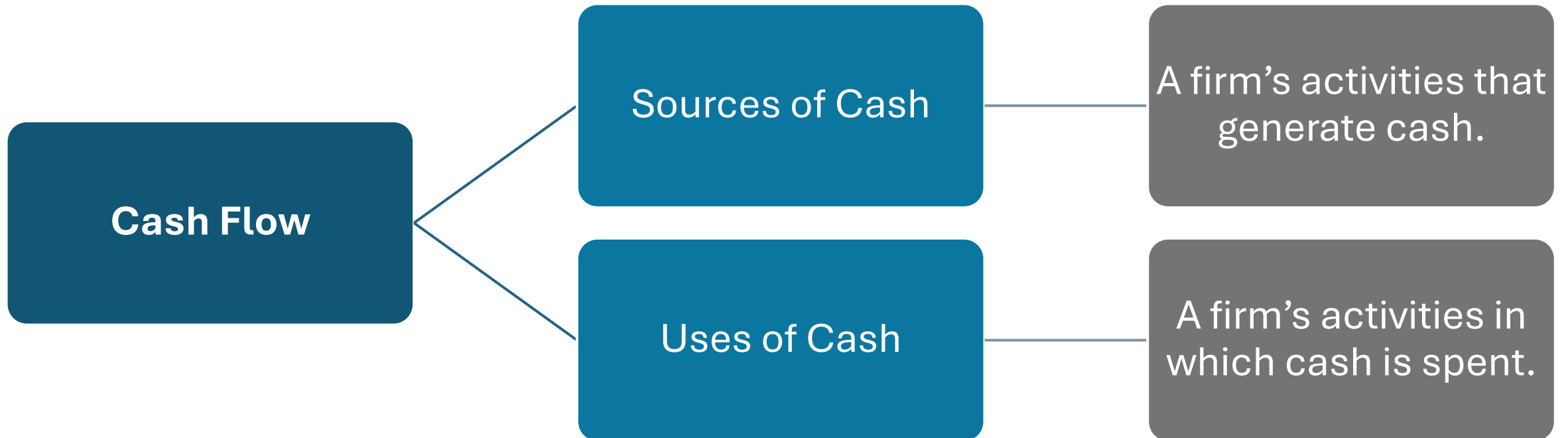
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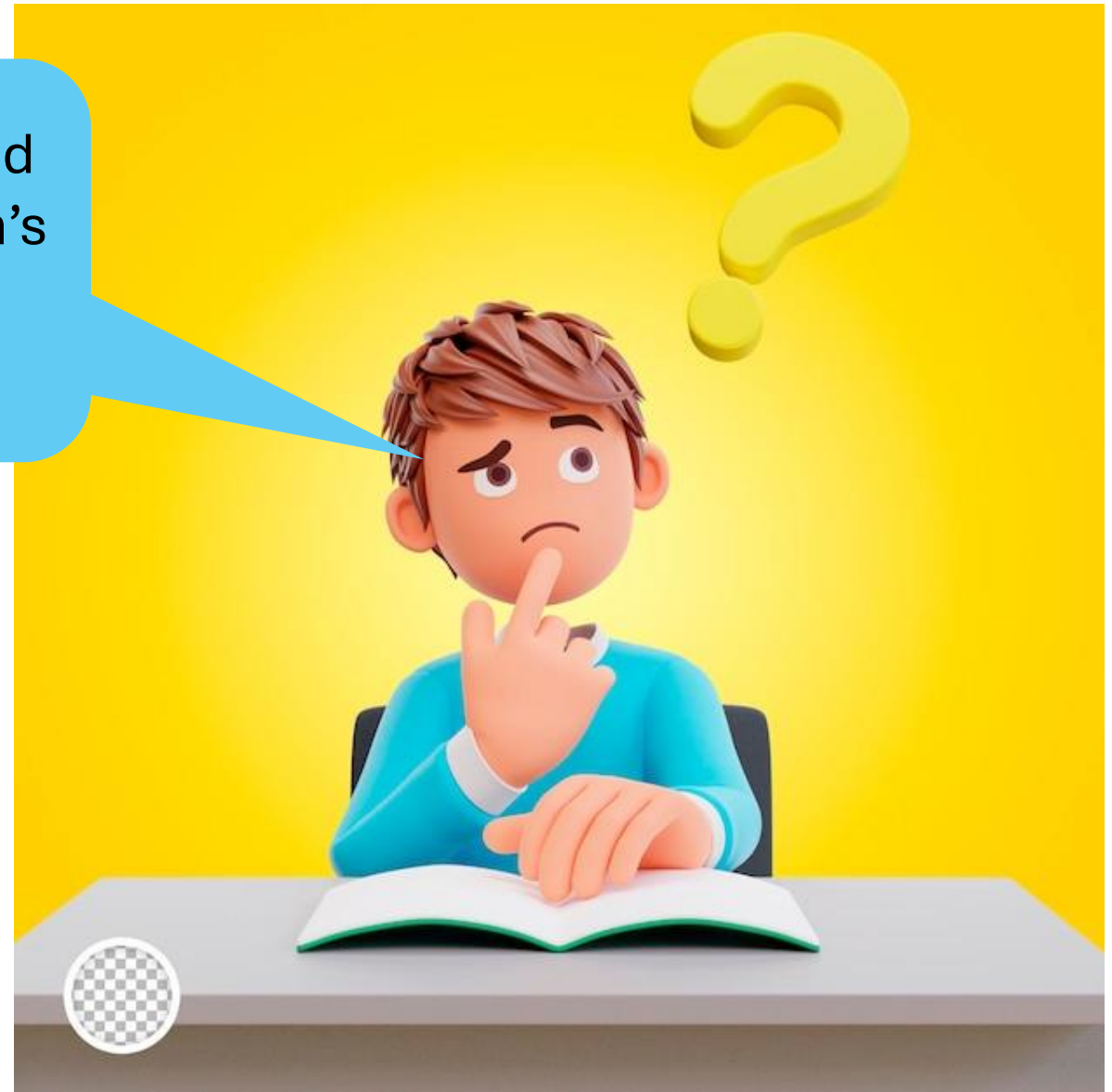
Financial Statements and Analysis – Part II



Cash Flow and Financial Statements



Can we trace the sources and
uses of cash through the firm's
Statement of Financial
Position?



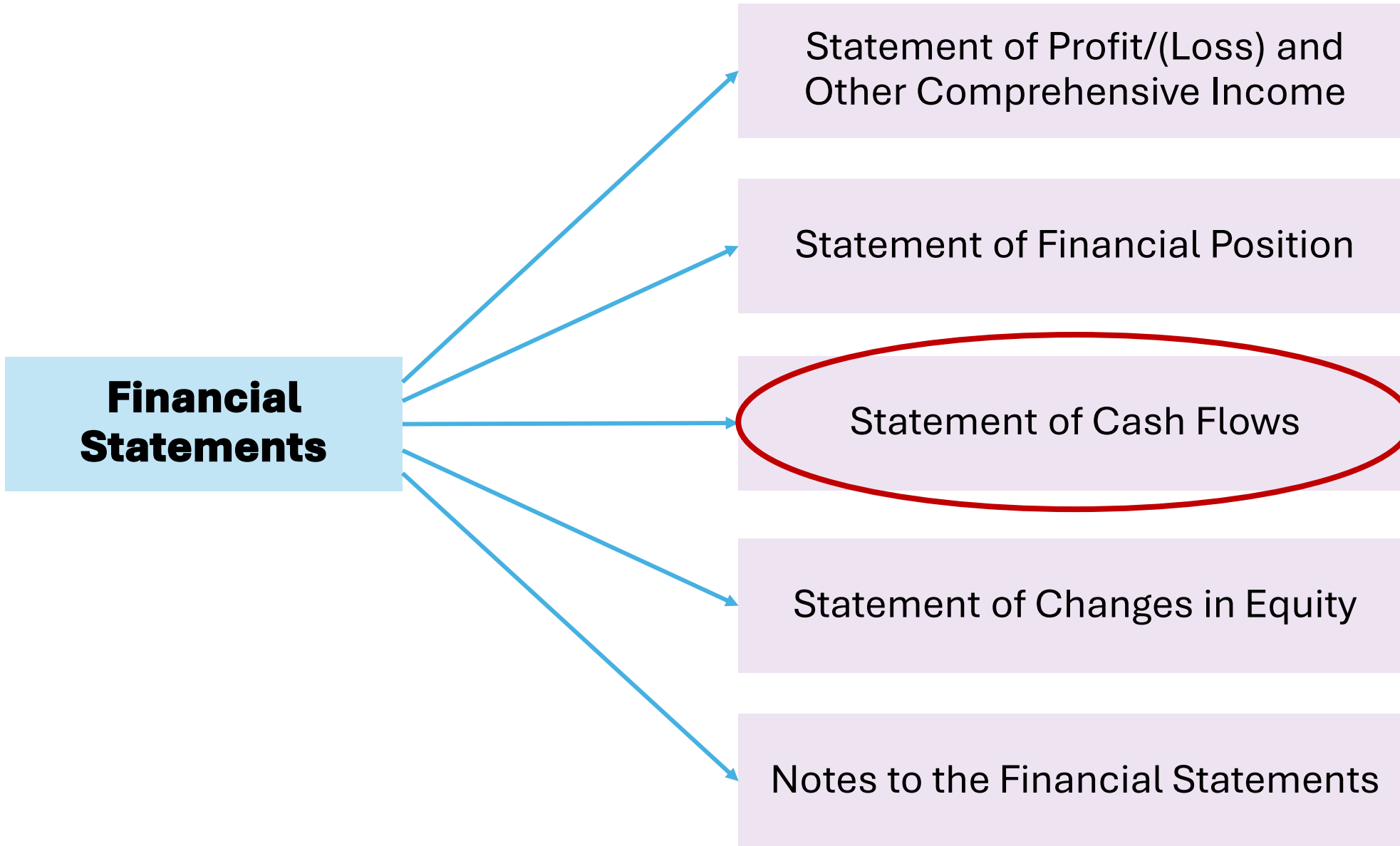
Question No. 01

Based on the given information calculate the following for the year ended 31 December 2025.

- Calculate the change in each financial statement item.
- Identify and calculate the sources and uses of cash.
- Calculate the net addition to the cash.

ABC PLC		
Statement of Financial Position as of 31 December		
	2025	2024
	Rs.'mn	Rs.'mn
<u>Non-Current Assets</u>		
Property, Plant and Equipment	2,880	2,731
	<u>2,880</u>	<u>2,731</u>
<u>Current Assets</u>		
Inventory	422	393
Trade Debtors	188	165
Cash	98	84
	<u>708</u>	<u>642</u>
Total Assets	<u>3,588</u>	<u>3,373</u>
<u>Equity and Liabilities</u>		
<u>Equity</u>		
Share Capital	550	500
Retained Earnings	2,041	1,799
	<u>2,591</u>	<u>2,299</u>
<u>Non-Current Liabilities</u>		
Bank Loan	457	531
	<u>457</u>	<u>531</u>
<u>Current Liabilities</u>		
Trade Payables	344	312
Accrued Expenses	196	231
	<u>540</u>	<u>543</u>
Total Liabilities	997	1,074
Total Equity and Liabilities	<u>3,588</u>	<u>3,373</u>





The Statement of Cash Flows

A firm's financial statement that summarizes its sources and uses of cash over a specified period.



Cash Flows

Cash Flows from Operating Activities

Cash Flows from Investing Activities

Cash Flows from Financing Activities

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 MARCH 2024

Note	2023/2024 Rs.	2022/2023 Rs.
Net profit before taxation	8	569,981,068
Adjusted for:		
(Profit)/ Loss profit from sale of property, plant and equipment	6	(1,716,786)
Depreciation and amortisation	8	80,297,537
Amortization of right of use assets	8	5,279,550
Defined benefit plan costs	24	26,023,555
Finance expenses	7.1	202,767,029
Interest income	7.2	(53,304,766)
Bad debts (reversal) / provisions	18.1	7,925,144
Provision for slow moving inventory	17.1	37,869,525
Change in fair value of investment property	14	(2,300,000)
Impairment of financial investment		11,454,000
Lease - Gain on modification	6	-
Deferred income	28.1	(20,902,089)
Cash flow from operating activities before working capital changes		863,373,765
(Increase) / decrease in trade and other receivables		(477,620,824)
(Increase) / decrease in deposits, advances and prepayments		26,063,044
(Increase) / decrease in inventories		2,493,627
(Increase) / decrease in amounts due from/to related companies		100,458,847
Increase / (decrease) in trade and other payables		560,883,749
		1,075,652,210
Tax paid	27	(66,005,454)
Interest paid		(215,967,161)
Gratuity paid	24	(20,356,333)
Net cash flows (used in) / from operating activities		773,323,262
Investing activities		
Interest income	7.2	53,304,766
Purchase of property, plant and equipment	12	(41,139,874)
Proceeds from disposal of property, plant and equipment		93,383,632
Net investment in fixed deposits		44,728,219
Net cash flows (used in) / from investing activities		150,276,744
Financing activities		
Dividend paid		(25,552,800)
Repayments of long term loans	23.3	(41,850,000)
Repayments of long term lease liabilities	23.4	(16,999,381)
Net movement in short term loans		(543,862,734)
Net cash flows (used in) / from financing activities		(628,264,915)
Net increase / (decrease) in cash and cash equivalents		295,335,092
Cash and cash equivalents at the beginning of the year		(164,394,768)
Cash and cash equivalents at the end of the year		130,940,324
Cash and cash equivalents at the beginning of the year		
Cash in hand and at bank		54,884,113
Bank overdrafts		(219,278,881)
		(164,394,768)
Cash and cash equivalents at the end of the year		
Cash in hand and at bank	21	139,840,806
Bank overdrafts	23.2	(8,900,482)
		130,940,324



STATEMENT OF PROFIT OR LOSS

For the year ended 31 December	Note	2023 LKR '000	2022 LKR '000
Total income	7	542,187,297	513,149,335
Interest income		524,797,842	456,267,458
Less : Interest expenses		433,610,256	329,921,080
Net interest income	8	91,187,586	126,346,378
Fee and commission income		25,875,048	22,837,771
Less : Fee and commission expenses		8,220,629	6,486,129
Net fee and commission income	9	17,654,419	16,351,642
Net gains/ (losses) from trading	10	(5,347,822)	17,602,384
Net fair value gains/ (losses) from financial instruments at fair value through profit or loss	11	858,722	(804,438)
Net gains/ (losses) from derecognition of financial assets	12	1,361,863	861,349
Net other operating income	13	(5,358,356)	16,384,811
Total operating income		100,356,412	176,742,126
Less : Impairment charge/ (reversal) for loans and other losses	14	(4,906,277)	87,155,696
Net operating income		105,262,689	89,586,430
Less : Operating expenses			
Personnel expenses	15	29,818,199	28,991,429
Depreciation and amortisation expenses	16	3,852,931	4,286,899
Other expenses	17	18,585,567	14,018,161
Total operating expenses		52,256,697	47,296,489
Operating profit/ (loss) before taxes on financial services		53,005,992	42,289,941
Less : Taxes on financial services	18.1	12,663,569	11,313,292
Operating profit/ (loss) after taxes on financial services		40,342,423	30,976,649
Share of profits/ (losses) of associate companies, net of tax	19	-	-
Profit/ (loss) before income tax		40,342,423	30,976,649
Less : Income tax expense/ (reversal)	18.2	13,648,897	(995,759)
Profit/ (loss) for the year		26,693,526	31,972,408
Profit attributable to :			
Equity holder of the Bank		26,693,526	31,972,408
Non-controlling interest		-	-
Profit/ (loss) for the year		26,693,526	31,972,408
Earnings per share and dividend per share	20		
Basic earnings per share (LKR)		1,067.74	1,278.90
Diluted earnings per share (LKR)		1,037.45	1,272.08
Dividend per share (LKR)		6.93	13.86

Statement of Comprehensive Income

Year ended 31st December	Notes	2023 Rs 000	2022 Rs 000
Profit or Loss			
Gross Income		39,412,959	25,813,144
Interest Income		37,122,997	26,626,159
Interest Expense		(26,820,527)	(17,170,702)
Net Interest Income	4	10,302,470	9,455,457
Fee and Commission Income		1,539,359	1,754,921
Fee and Commission Expenses		(55,283)	(36,112)
Net Fee and Commission Income	5	1,484,076	1,718,809
Net Gain/(Losses) from Trading	6	1,026,903	111,315
Net Other Operating Gain/(Losses)	7	(276,300)	(2,679,251)
Total Operating Income		12,537,149	8,606,330
Impairment Charges	8	3,155,102	2,860,555
Net Operating Income		9,382,047	5,745,775
Personnel Expenses	9	2,660,113	1,893,676
Other Operating Expenses	10	3,396,265	2,750,344
Total Operating Expenses		6,056,378	4,644,020
Operating Profit Before Taxes on Financial Services		3,325,669	1,101,755
Taxes and Levies on Financial Services	11	997,323	451,902
Profit Before Tax		2,328,346	649,853
Income Tax Expense/(Reversal)	12	473,381	(1,352,087)
Profit for the Year		1,854,965	2,001,940
Other Comprehensive Income			
Other Comprehensive Income Not to be Re-classified to Profit or Loss			
Revaluation Surplus on Property, Plant and Equipment		179,377	243,809
Deferred Tax Effect on Above		(53,813)	(73,142)
	35	125,564	170,667
Actuarial Gain/(Losses) on Defined Benefit Plan	31.1	820	(44,103)
Deferred Tax Effect on Above	12.2	(246)	13,231
		574	(30,872)
Deferred Tax Effect on Revision of Statutory Income Tax Rate	35	-	(78,695)
Other Comprehensive Income for the Year, Net of Tax		126,138	61,100
Total Comprehensive Income for the Year		1,981,103	2,063,040
Earnings Per Share - Basic/Diluted (Rs.)	13.1	4.19	4.52
Dividend Per Share (Rs.)	13.2	0.25*	-

*First and final cash dividend declared is to be approved by the shareholders at the Annual General Meeting to be held on 28th March 2024.





Can you compare the financial statements of BoC with the financial statements of Pan Asia?

- To start making comparisons, one obvious thing we might try to do is to somehow “**standardize the financial statements**”.
- One common and useful way of doing this is to work with percentages instead of total Rupee Value.



**Common-size
Statements**

Common-base Year
Financial Statements:
Trend Analysis

**Standardized
the Financial
Statements**

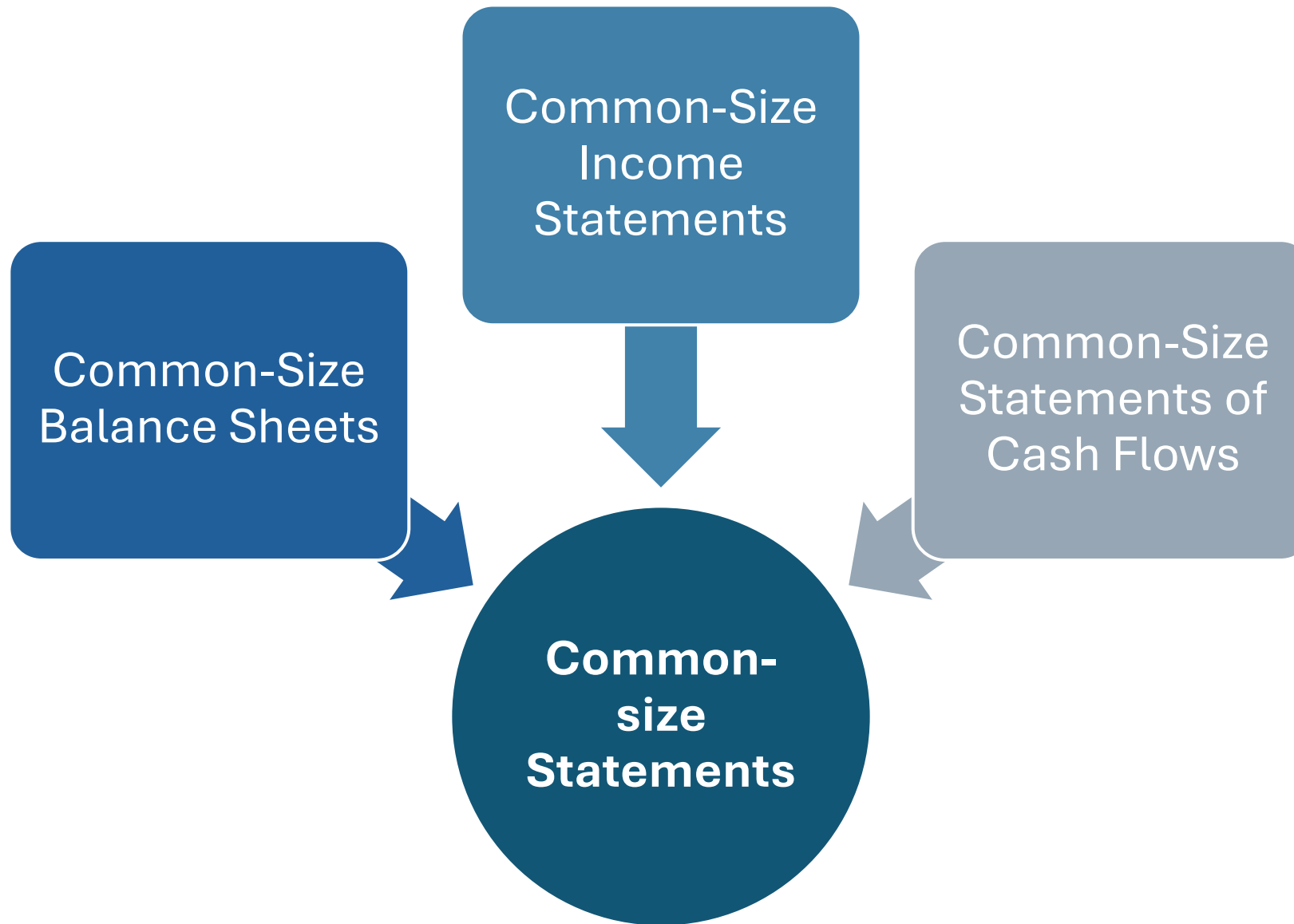


Common-size Statements

A standardized financial statement presenting all items in percentage terms.

Statement of Financial Position items are shown as a **percentage of assets** and **Statement of Profit/(Loss)** items as a **percentage of sales**.





Question
No. 02

ABC PLC
Statement of Profit/(Loss) for the Year Ended
31 March 2025

	Rs.'mn
Sales	2311
(-) Cost of goods sold	1344
Gross Profit	967
(-) Depreciation	276
Earnings before interest and taxes	691
(-) Interest Expense	141
Taxable income	550
(-) Income Tax (34%)	187
Net income	363
Dividends	121
Addition to retained earnings	242

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	2025 Rs.'mn	2024 Rs.'mn
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	540	543
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Based on the above information Perform;

- A. Common-Size Balance Sheet analysis.
- B. Common-Size Income Statement Analysis.



Common-base Year Financial Statements

Common Base Year Statement is a standardized financial statement presenting all items relative to a certain base year amount.



Combined Common-size and Base Year Analysis

- The trend analysis can be combined with the common-size analysis.
- The reason for doing this is that as total assets grow, most of the other accounts must grow as well.
- By first forming the common-size statements, this overall growth is eliminated.



Question No. 03

Based on the information available in Question No. 02, perform a **Combined Common-size and Base Year Analysis for the Statement of Financial Position.**



Thank You

